

Final Project: Case Study

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Toyota Motor Corporation

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Part 1

Company Background

Kiichiro Toyoda established the international automaker Toyota Motor Corporation in 1937. Its headquarters are in Toyota City, Japan. With over 85 years of expertise, Toyota has become one of the world's largest automakers and is renowned for its production breakthroughs, hybrid technology, and environmentally friendly operations (Toyota, 2024).

Toyota offers premium cars under the Lexus brand, as well as SUVs, commercial trucks, passenger cars, and state-of-the-art hybrid and electric vehicles (EVs). Along with

mobility solutions like driverless driving and hydrogen fuel-cell technologies, it also provides banking services.

With substantial market shares in Asia-Pacific, North America, Europe, and Latin America, Toyota has operations in more than 170 nations. With yearly sales of about ¥40 trillion (about USD 265 billion) in fiscal year 2024, the corporation was directly competing with General Motors, Stellantis, and Volkswagen Group (Toyota, 2024).

Around 375,000 people work at Toyota worldwide (Toyota, 2024). The Toyota Production System (TPS), an operating concept that has transformed manufacturing efficiency globally, is a crucial differentiator. By making significant investments in hydrogen fuel cell and electric vehicle technology, the corporation is actively working toward becoming carbon-neutral by 2050.

Value Proposition

Delivering premium, secure, and eco-friendly automobiles that satisfy the changing mobility demands of customers throughout the globe is at the heart of Toyota's value proposition. Toyota sets itself apart with its dedication to sustainable transportation solutions, operational excellence, and technical innovation.

Unmet Need and Company Solution

Unmet Need:

The demands on the global auto industry are rising for:

- Dependable and reasonably priced transit options.
- Automobiles that are both fuel-efficient and environmentally beneficial.

- Experience safe driving supported by cutting-edge technology.
- Mobility services that are smart and convenient for modern lives.

Toyota's Solution:

Toyota provides the following to meet these unmet needs:

- A variety of automobiles, ranging from luxurious SUVs and trucks to fuel-efficient little cars.
- Carbon-emission-reducing hybrid, plug-in hybrid, battery electric, and hydrogen fuel cell automobiles.
- Sophisticated safety and driver-assistance systems (Automated driving solutions, Toyota Safety Sense).
- New developments in mobility, such as linked car platforms, driverless cars, and Mobility as a Service (MaaS).

Target Market

Target markets for Toyota include:

- Mass-market buyers are looking for dependable, reasonably priced cars.
- Customers who care about the environment and are searching for electric or hybrid cars.
- Purchasers of luxury automobiles under the Lexus brand (Hill, C. W. L., Schilling, M. A., & Jones, G. R., 2023).

- Fleet and commercial drivers are in need of sturdy vans and trucks.
- Smart mobility solutions are sought after by urban populations and enterprises.

Company Attributes:

- Toyota Production System, which leads the industry in production efficiency.
- Strong reputation as a dependable and high-quality brand.
- Leading the way in sustainability projects (electrification, hydrogen, and hybrids).
- Worldwide network of manufacturing and distribution.
- large expenditures on mobility services and driverless cars.

Points of Superiority

- The advantage of being the first in hybrid technology.
- Among the industry's most effective worldwide supply chains.
- Leadership in emissions reduction and fuel economy.
- Significant R&D expenditures on upcoming mobility technologies.

Current Competition

Toyota's rivals include:

- Volkswagen Group, a pioneer in the growth of the EV sector.
- Ford and General Motors (particularly in North America).

- Hyundai-Kia (strong development of fuel cells and EVs).
- The market leader in battery electric vehicles is Tesla, Inc.
- Nissan and Honda are in both the Japanese and international markets.

Value Creation

Toyota adds value by manufacturing high-quality, reasonably priced cars with innovative safety and fuel-saving technologies. It offers customers dependability, security, and a reduced total cost of ownership. It provides innovations for society that tackle issues of urban mobility and climate change. Through market leadership and operational efficiency, it consistently generates financial returns for shareholders.

Value Capture Strategy

Toyota extracts value by:

- Tiers of pricing for its commercial vehicles, Toyota, and Lexus brands.
- Broad consumer base through a variety of market offers in combustion, electric, and hybrid automobiles.
- Cost savings are made possible via global supply chain management and flexible manufacturing.
- Rapid expansion of financial and transportation services.

Porter's Five Forces

1. Threat of new entrances

- New entrants are discouraged by high capital investment and technological hurdles.
- Startups like Rivian and BYD, however, demonstrate that new competitors can enter the EV market (Kotler & Keller, 2022).

2. Power of suppliers

- Through its keiretsu system, Toyota reduces supplier power while maintaining close connections with its suppliers.
- Global sourcing and vertical integration lessen reliance on specific suppliers.

3. Power of customers

- Consumers' concerns about sustainability and price are driving automakers to innovate and cut expenses.
- Micromobility options, ride-sharing services, and public transportation are alternatives.

4. Threat of substitutes

- Micromobility options, ride-sharing services, and public transportation are alternatives (Porter, M. E., 2008).
- Urbanization patterns and environmental concerns make these alternatives more alluring.

5. Competition

- Competitors are vying for control of the EV and autonomous car industries in the fiercely competitive automotive sector.
- Brand loyalty, feature innovation, and price wars are important battlegrounds.

Greatest threat: Industry competition

The biggest challenge is the fierce competition, particularly in the EV sector, where rivals are quickly innovating and gaining market share worldwide.

Part-2

Risk Statement (from Toyota's 10-K, 2024):

The inadequacy or breakdown of the supply of raw materials, Parts and Components, semiconductors may both directly impact the production levels of Toyota negatively and increase the cost, as well as the capacity to satisfy the demand of its customers at valuable times. This threat shows the danger presented by the disruption of the production of Toyota through the problems of its supply chain correctly, namely a global shortage of semiconductors, which are the ingredient of the present-day automobiles.

MODELING THE SCENARIO

The scenario that can be emulated based on this risk is the massive interruption in the supply of semiconductors, causing a lack of critical components to construct the cars of Toyota. Since semiconductors have applications in everything to do with vehicles cars in general to the more advanced driver assistance systems, such a shortage may impact a wide selection of Toyota product lines, including conventional cars, hybrids and electric vehicles.

Supply shift (no change, increase or decrease) and why (determinant that changed).

Supply Shift: Decrease

This threat situation will result to reduction in supply. The driving force to such change is the cost of inputs and the availability of raw materials and components especially the semiconductor. In case suppliers cannot provide the necessary amount, the manufacturing plants in Toyota are likely to slow down or even stop their operation (Andrews et al., 2011). This limitation will limit the number of cars that Toyota will be able to manufacture and sell irrespective of the demand. Reduction in final goods causes the supply curve to shift to the left, which is an indicator that there will be fewer vehicles offered with a given price.

Demand shift (no change, increase or decrease) and why (determinant that changed)

Demand Shift: No Change or Slight Increase

The demand in this case is stable or it could marginally rise. The parameter that facilitates this is brand loyalty and the preference of consumers. The Toyota company has a good international demand, as it produces cars with good reliability and fuel consumption, not to mention the hybrids, and fuel-saving vehicles. As customers demand more electric and hybrid vehicles with the same side pay attention to green transportation, the prices of gasoline keep rising, and Toyota has a competitive advantage in this market segment. And this also implies that as the quantity supplied reduces, the demand curve remains firm or moves to the right hence maintaining the interest of customers (Benders & Morita, 2004).

New Equilibrium Price and Quantity

Now since the supply shifted leftwards, and the demand remained flat or even rose, the new equilibrium is going to reflect a high price and lower quantity.

Price Rise: When a supply of cars becomes small and demand remains high, the resulting situation is naturally to lead to a rise in prices as a result of customers bidding up prices on the few cars available.

Quantity Reduction: The production of the Toyota will decline because their supply will be limited hence less cars will be sold in the market (Benders & Morita, 2004).

The imbalance between supply and demand will raise the prices and increase the waiting period by the consumers.

Total Revenue: Mixed Effect

The effect to the overall revenue will rely on the elasticity of demand.

Assuming that the demand of Toyota vehicles is inelastic (customers continue purchasing even at prices above the current ones), total revenue may also increase since the increase in price will be greater than the decrease in the quantity of sold vehicles (Bhattacheryay, 2021).

In the case of the elastic demand (customers delay purchases or change suppliers), the total revenues may decline because the volume decreases significantly.

In the Toyota example, since the demand is more elastic since most of the vehicles are fuel effective and reliable, it makes the demand less elastic when it comes to most demanded model of cars such as Prius or RAV4 Hybrid. But in case of luxury products or other types of optional upgrades, then the elasticity can be greater (Bhattacheryay, 2021).

In general, the overall revenue may increase marginally or be stagnated but it will leave some imbalances within the product portfolio of the business.

Describe at least one thing or action the company could do if this risk scenario happened to retain value created by the brand:

Action Toyota Could Take to Retain Value

In order to maintain value and customer loyalty in this condition of supply limitation, the solution that Toyota should take into consideration is as follows:

Expand investment in local and diversify supply chains. Toyota will be able to decrease risk in the future supply by making the supply chain more localized and rely less on the supplier base, particularly of critical goods such as semiconductors. Having various suppliers in various parts of the supply chain, Toyota has an opportunity of mitigating regional hiccups or global congestions at other parts of the chain (Fuchs, 2007).

Enter into long-term contracts with chip-makers to get a stable supply. Expenditure in internal semiconductor R&D and manufacturing capacity particularly the ones that have a higher demand such as hybrids and EVs.

Be up front about delays with the customers, flexible customization (or even booking incentive) to maintain their participation in the waiting process, especially when it takes longer. Hosting high-demand high-value vehicles to maximise profits even with low ability to produce. These measures would assist Toyota not only to maintain value it generates in terms of its reliability and innovations but also to enhance competitive advantage in the turbulent market (Soliman, 2020).

Page down and fill in the charts. You must label the chart components including Price, Quantity Demand (D) and Supply (S). If you model a shift, then use D1 and/or S1 to show the shift. Students are not expected to put specific numbers in to the charts. The exercise here is to show a shift or shifts if applicable and to discuss the resulting equilibrium and answer writing prompts.

Chart:

BEFORE RISK

AFTER RISK

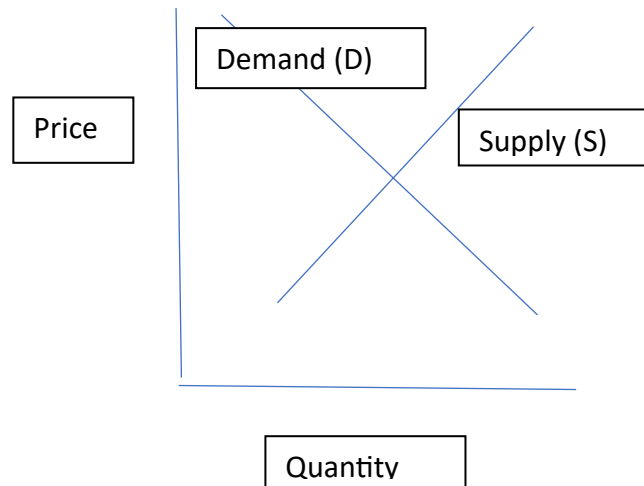
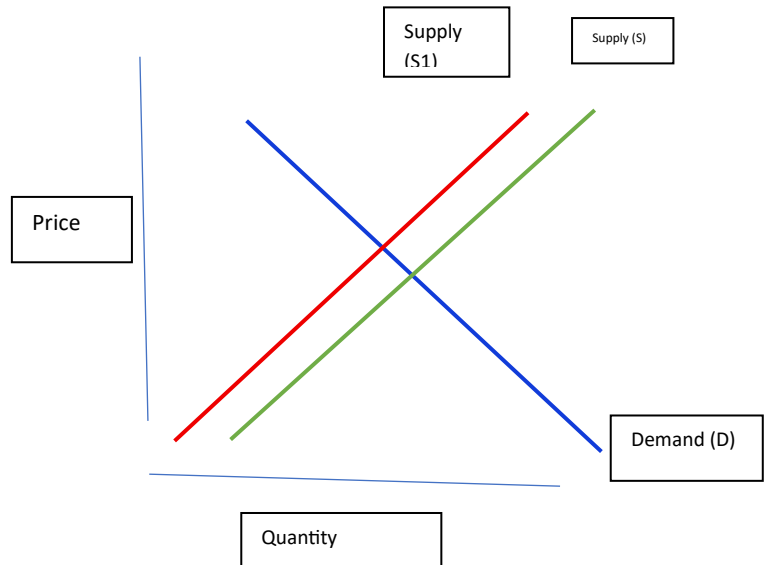


Chart: (Student must fill)



In the AFTER RISK chart, the supply curve will move leftwards at S to S1 (in red) which depicts the decrease in supply as a result of semiconductor shortage in the production of Toyota. The lack of change in the demand curve (D) in blue indicates the prevailing interest by consumers in the Toyota vehicles. Subsequently, the new equilibrium exists at a higher price and at lower quantity due to the decreased quantity and constant demand. Such a change is an indicator of the market effects of the disruption of the supply chain: a smaller amount of the vehicles offering, a higher price, and less overall production. Toyota can earn revenue even selling less units provided that the demand in the main models is comparatively inelastic.

Part-3

Category	Formula	Year ended: 1/31/24	Year Ended: 1/23/23
BASIC FINANCIALS			
Total Assets		\$ 90,100 billion	\$ 74,300 billion
Current Assets		\$ 45,000 billion	\$ 37,000 billion
Total Liabilities/Debt		\$ 53,200 billion	\$ 40,100 billion
Total Revenue		\$ 45,095 billion	\$ 37,200 billion
Net income(from Continuing operations)		\$ 4,900 billion	\$ 2,500 billion
Operating Cash Flow		\$ 4,206 billion	\$ 2,955 billion
Investing Cash Flow		-(\$ 4,999) billion	-(\$ 1,599 billion)
Financing Cash Flow		\$ 2,498 billion	-(\$ 56 billion)
Operating Expense		\$ 40,024 billion	\$ 34,708 billion
RATIO ANALYSIS			
Profitability:			
Return on Equity	Return on equity ratio = Net income / Shareholder's equity	13.3 %	7.3%
Net profit Margin		10.9%	6.7%
Leverage:			
Debt to Asset ratio	Total Debt / Total Assets	59.1%	54 %
Debt to Equity Ratio	Total Debt / Equity	1.44	1.17
Efficiency:	Revenue / Total Assets		
Total asset turnover	Revenue / Total Assets	0.50	0.50
Three ratios of your choice			
1	Current Assets / Current Liabilities	1.69	1.85
2	Operating Margin = Operating Income / Total Revenue	-1.1%	10.6%
3	Net Income / Total Assets	5.4%	3.4%

The 2024 31 March results significantly improved the financial performance of Toyota as compared to the year 2023. Sales increased by 11 per cent with the revenue increasing to \$ 45.1 trillion as compared to the previous figure of \$ 37.2 trillion. The net income almost doubled to the value of \$ 4.9 trillion, which considerably increased profitability rates like the return on equity and the net profit margin. In spite of the higher liabilities, the equity was also increased and had a healthy balance sheet. Operations and financing cash flows were more robust even though investing cash flow was still negative since continued investing in capital.

What surprised you most about the financial results and why?

The most shocking thing was the phenomenal growth of net income by basically threefold (increasing from \$2.5 trillion to \$4.9 trillion in a short span of one year). This over 90 percent increase means that there would be significant operational advancement or cost benefit to the growth, which is fantastic given the fact that Toyota is already a mature enterprise (Sumit, 2025). In the face of the world supply chain problems and high input cost, Toyota still could make its profitability and cash flow grow, and this illustrates its stability and favorable posture in the market. This kind of performance in such a volatile environment indicates successful strategic planning and strong management action in Toyota.

If you worked for the company, what are 2 things you would recommend the company try to do to improve results in the future and why?

1. **Improve Free Cash Flow Routine:** The firm has been experiencing adverse free cash flow on a regular basis which is alarming due to the capital expenses. Although investment is of paramount importance, capital allocation could be more effective or partnerships in order to share costs on R&D would enhance cash holding as well as flexibility (*Toyota's Consistent Negative Free Cash Flow*, 2020).

2. **Increase Revenue by providing Software and EV Service:** Toyota has to consider venturing into the high-margin business such as software in its vehicles, connected services, and electric vehicle (EV) ecosystem to ensure that it survives the highly competitive industry and produce higher margins in the future. Entry into such pioneering industries will not only propel its revenue generation, but it will turn into an industry leader in the automotive technological transformation.

Part-4

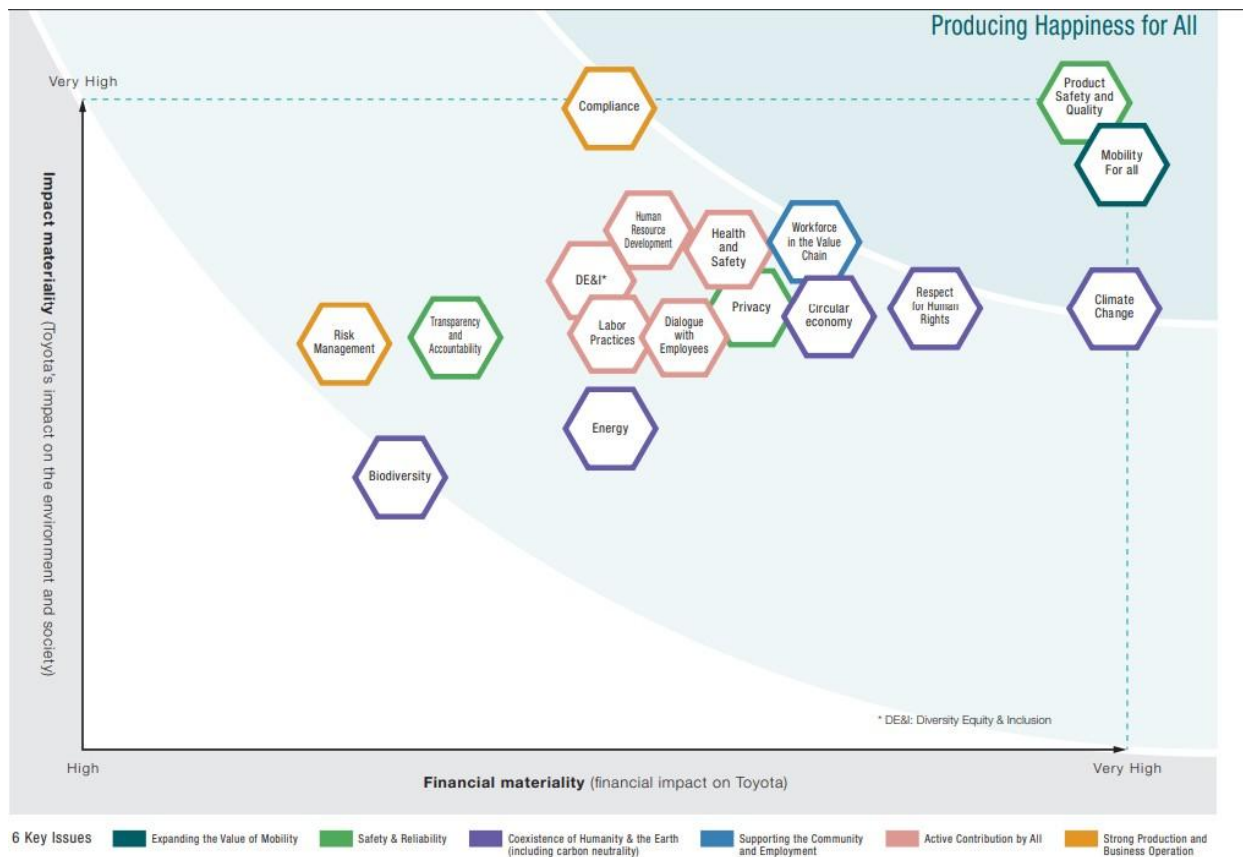
Environmental, Social and Governance

Overview

Toyota's ESG strategy is built around long-term environmental, social, and governance priorities aligned with its global business goals. At the core is the Toyota Environmental Challenge 2050 in 2015, which aims to achieve carbon neutrality across the entire vehicle life cycle by 2050, with interim targets such as a 30% emissions reduction by 2030 (Toyota, 2025). Under environmental responsibility, Toyota aims to reduce the environmental footprint and contribute to the sustainable development of society and the world throughout all areas of our business activities. To achieve its goal Toyota currently works under the Toyota Earth Charter initiative.

Toyota has conducted continuous environmental initiatives since the 1960s, and it established the Toyota Earth Charter in 1992. Toyota also operates under a Five-Year Environmental Action Plan (currently FY2022–2026), focusing on carbon, water, circular economy, and biodiversity. In FY2024, the company reported 77% of Toyota and Lexus models were electrified, a 14% reduction in Scope 1 and 2 greenhouse gas emissions, 6.8%

lower water usage per vehicle, and a 93% recycling rate for operational waste (Toyota Pressroom, 2025).



Toyota's Materiality map graph demonstrating its ESG factors, Source: Toyota

Socially, Toyota emphasizes diversity, equity, and inclusion (DE&I), community engagement, and employee well-being, alongside global outreach programs such as STEM education and mobility access. Toyota Motor Corporation is committed to promoting human rights across its global operations. Guided by the UN Guiding Principles on Business and Human Rights, the company ensures a safe, respectful, and inclusive work environment, prohibiting discrimination, harassment, child labor, and forced labor. It conducts human rights due diligence, provides employee training, and aligns suppliers with its sustainability guidelines to uphold ethical standards throughout its supply chain.

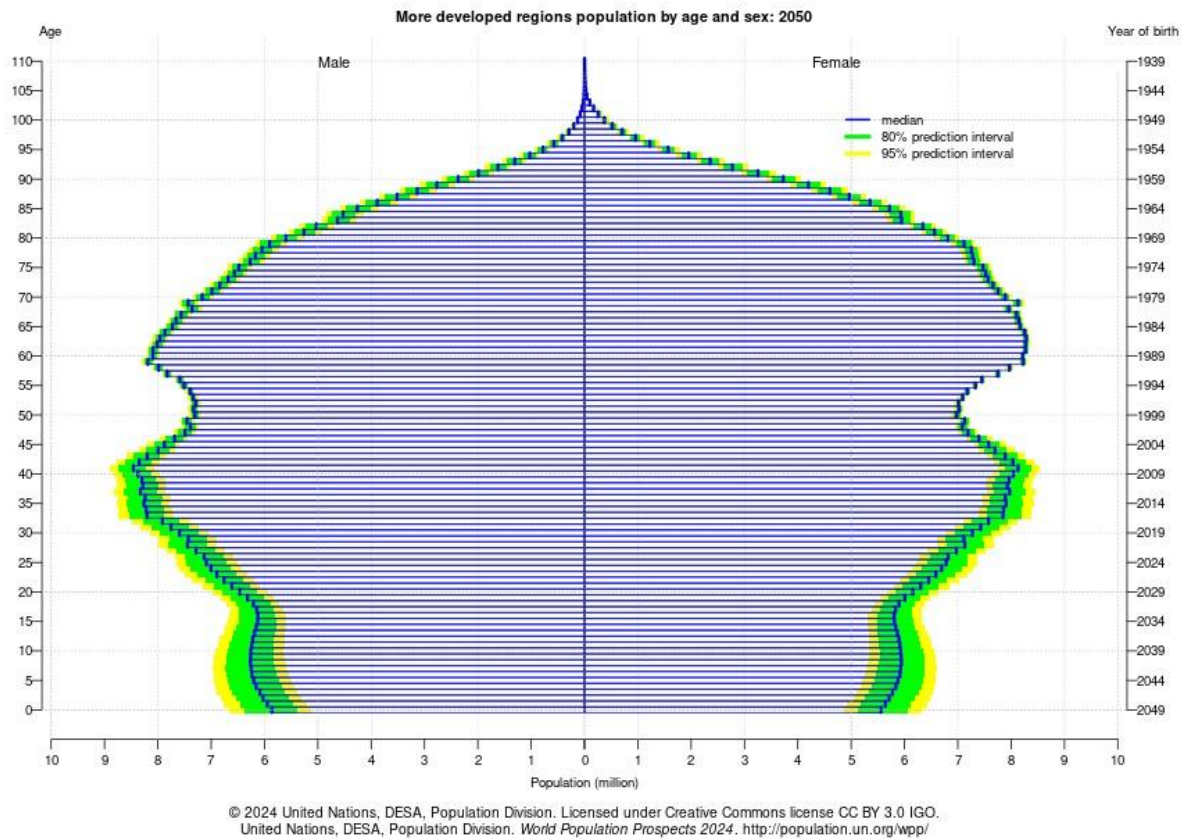
On the governance side, ESG metrics are linked to executive compensation, with oversight handled by a sustainability committee. The company follows global standards like TCFD, GRI, and SASB, and tracks ESG performance across its operations and supply chain. Overall, Toyota integrates ESG into its corporate strategy with measurable goals, public reporting, and a commitment to continuous improvement. Toyota has Established a corporate governance structure that supports sustainable growth and the stable, long-term enhancement of corporate value.

Toyota's ESG Strategy: Aligning Social Responsibility with Global Mobility

Toyota's ESG strategy is deeply embedded in its social responsibility as a global automaker, addressing demographic shifts, safety concerns, and equitable mobility access. By aligning with societal needs, Toyota aims to sustain long-term trust while navigating industry disruptions.

In aging societies like Japan, Europe, and the U.S. where 1 in 6 people globally will be over 65 by 2050 (United Nations, 2023)—Toyota has developed accessible mobility solutions, including the WelCab wheelchair-compatible vehicles and autonomous driving pilots to support elderly independence (Toyota Motor Corporation, 2025). Rapid urbanization, with 2.5 billion more city dwellers expected by 2050 (World Bank, 2022), has led Toyota to invest in smart city projects like Woven City, a testbed for AI-driven traffic management and accident prevention (Toyota, 2024). On workforce diversity its 2025 Diversity & Inclusion Report highlights a 15.7% female managerial ratio in Japan (2023) and pledges to "accelerate female career advancement" through mentorship programs (Toyota, 2023). In emerging economies such as India and Africa, where affordable, low-emission transport is critical, Toyota launched compact hybrids like the Rumion CNG and Innova HyCross, tailored to local cost and infrastructure needs. Toyota is increasing the development

of its electric vehicle (EV), and hybrid vehicle. By aligning its ESG strategy with these social imperatives, Toyota reinforces its commitment to inclusive mobility and equitable growth.



Source: UN

Impact of the Toyota's ESG Framework on Financial Results

Toyota's ESG strategy contributes significantly to its financial outcomes by enhancing operational efficiency, strengthening brand equity, and aligning with evolving investor expectations. For instance, initiatives outlined in the Sustainability Data Book 2025, such as a 14% reduction in Scope 1 (direct emissions from company-owned and controlled sources) and 2 (indirect emissions from the generation of purchased energy) and a 6.8% decrease in water usage per vehicle (Toyota Motor Corporation, 2025), have improved environmental

performance while reducing operating costs across production facilities. Additionally, with 77% of Toyota and Lexus models now offering an electrified option, the company has responded effectively to rising demand for sustainable mobility, contributing to increased sales in hybrid and electric vehicles.

Toyota aims to achieve CN throughout the vehicle life cycle through initiatives at each stage



Source: Toyota

These efforts also enhance Toyota's intangible assets. According to Brand Finance, Toyota's sustainability perception contributes approximately USD 8.1 billion in brand value, making it the top Japanese brand in ESG perception globally (Brand Finance, 2024). Such recognition reinforces customer trust and loyalty, which can drive long-term revenue. On the governance front, Toyota links ESG metrics to executive compensation and integrates sustainability performance into corporate oversight, promoting accountability and long-term decision-making (Toyota Motor Corporation, 2025).

Furthermore, Toyota's ESG credentials improve its appeal to ESG-focused investors. Research shows that ESG-aligned portfolios in the Asia-Pacific region outperform non-ESG funds by an average of 1.02% annually (Reuters, 2022), suggesting that companies like Toyota benefit from higher investor interest and potentially lower capital costs. In summary, Toyota's ESG framework not only mitigates environmental and social risks but also enhances financial resilience, market competitiveness, and investor confidence, positioning the company for sustained long-term growth.

Conclusion

The ESG strategy used by Toyota affecting positively its financial and operational performance as well as reputation is substantial. Not only that it enhances both environmental and community objectives by investing in sustainable technologies, ethical governance, and social equity, it also increases brand loyalty, operating costs, and generates interest of socially responsible investors. Toyota business has become resilient, innovative, and relevant in the market due to global sustainability standards and the local community requirements. Its active ESG initiatives have proved that accountable business and success are not two distinct units. They are rather closely linked with each other and they ensure the position of the Toyota company as a progressive leader that is devoted to the future success and its sustainable growth.

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